

Damped Spring: Weekly Outlook Dec 14

Extracted from: DS Weekly Outlook

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 **5-Minute Version:** [Watch Key Excerpts](#)

Executive Summary

The Fed's surprise \$40B/month T-bill purchase program (RMO) through April signals **they overdid QT**, but Andy argues this isn't classic QE—it's a **bill market rebalancing operation**. The Yellen Treasury's 50% bill-financing strategy flooded the market, pushing repo rates above the Fed's target corridor. By buying bills, the Fed makes them unattractive relative to repo, forcing money market funds to shift allocations and compress repo rates back into range. This is "dovish but not super dovish"—comparable to BTFP's \$120B injection during SVB, which sparked a 12% equity rally that later faded.

The **bond market's hostile reaction** is the key tell. Long-end yields sold off hard through Thursday lows on Friday despite the "QE-lite" announcement—if this were truly stimulative, bonds wouldn't be getting crushed. Equities finished down, crypto failed first (Bitcoin at channel support with "bare flag" risk), and the Hasset rally since Thanksgiving now has air underneath it. The Dec VIX-Jan spread collapsed from 240 to 140 on Friday's selloff, suggesting limited hedging and room for volatility to spike.

PM implication: This is a regime test. The consensus "Hasset = steepener, Warsh = flattener" trade is too cute—both Fed chair candidates are Trump lackeys until proven otherwise. Own wings (upside and downside optionality), don't press directional bets. Watch the 73K Bitcoin level (Saylor's average cost), bond futures at 115, and whether NASDAQ holds the Thanksgiving gap. If crypto and tech break support simultaneously, "it's going to get really weird to the downside."

Listen or Skip?

Verdict: Must-listen

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★☆
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Macro PMs, rates traders, cross-asset allocators **Skip if:** Looking for equity stock picks or fundamental analysis

Key Quotes

- "They think they overdid QT. They think they reduced the balance sheet too much."
- "Reserves don't matter. They're just grease. They're the way that the financial system transacts."
- "Push down the yield on bills and you'll get people to swap into repo. It has nothing to do with reserves."
- "They reduced reserves by \$3 trillion and now they're increasing it by rapidly by a hundred billion. Let's not get carried away that this is some massive thing."
- "I don't see a world in which either of the nominees are anything other than a political lackey of Trump until he changes his mind."

6. *"That 73,000 level... everyone's saying that's his pain point. I've never seen anyone arrogantly say 'fuck you' to the market in December and not get tortured afterwards."*
7. *"The back end really got smoked and went through the levels broke their Thursday lows... that's not what you would expect on a reaction from QE."*
8. *"This is going to be a wingy event one way or the other."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Risk-Off
Conviction	Medium
Time Horizon	Tactical (0-1m)
Primary Domain(s)	Macro Rates Equities Crypto
Why Now?	RMO announcement + Dec expiration + year-end illiquidity = asymmetric downside

Top 3 Investable Ideas:

1. **Own wings (long vol)** — Buy upside calls (7000 ES) and downside puts; market priced for neither direction
2. **Sell bonds on rallies** — Long-end hostile to RMO; target short entry near 115 ZB
3. **Sell USD on rallies** — Against EUR, GBP, JPY; but wait for the dip first

2) Key Investable Insights

Insight 1: RMO is Bill Rebalancing, Not QE

- **Claim:** Fed's \$40B/month bill buying is designed to lower repo rates, not inject stimulus
- **Asset Class:** US Rates, Money Markets
- **Mechanism:** Oversaturated bill market (Yellen's 50% bill financing) keeps repo rates above corridor; buying bills shifts MMF flows to repo
- **Expression:** Front-end rates marginally supported, but don't extrapolate to risk assets
- **Trigger to Exit/Flip:** If SOFR consistently prints mid-corridor (success) or if Fed expands to coupon buying (escalation)
- **Confidence:** High

Insight 2: Long-End Bonds Reject "QE" Narrative

- **Claim:** Bond market's Friday selloff signals this isn't stimulative—term premium still rising
- **Asset Class:** US Treasuries (10Y+)
- **Mechanism:** If RMO were true QE, duration would rally; instead 30Y broke Thursday lows
- **Expression:** Sell ZB rallies near 115; target 114 or lower
- **Trigger to Exit/Flip:** ZB sustained above 115 with equity weakness (true flight to quality)
- **Confidence:** Medium

Insight 3: Bitcoin/Crypto Leading Indicator for Risk

- **Claim:** Crypto failing first (BTC at channel support) while equities hold is a negative divergence
- **Asset Class:** Crypto, Equities
- **Mechanism:** December has historically punished overexposed/leveraged players; Saylor's 73K average cost is known pressure point
- **Expression:** Watch BTC channel break as signal to press equity shorts
- **Trigger to Exit/Flip:** BTC reclaims 100K with momentum
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
RMO bill buying	T-bill yields ↓, repo rates ↓	MMF allocation shift to repo	Bills-repo spread compresses	Repo funding costs stabilize	MMFs forced out of bills
Long-end selloff	10Y/30Y yields ↑	Equity multiples pressure	Bonds-equities positive correlation (bad)	Duration carry negative	CTAs likely adding shorts
Crypto weakness	BTC tests 73K support	Risk sentiment contagion	Crypto-NASDAQ correlation elevated	Leveraged longs at risk	Dec liquidations possible

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle with Fed plumbing stress. Not Goldilocks (inflation sticky), not crisis (yet). “Tactical uncertainty” regime.
- **Base Case (55%):** Choppy consolidation through year-end; bonds stay heavy, equities hold Thanksgiving lows, crypto wobbles but doesn’t crash. No major directional move until January.
- **Alt Case 1 (30%):** Crypto breaks, triggers NASDAQ selloff into Thanksgiving gap fill (several thousand points of air). Bonds catch bid as safe haven, but only temporarily.
- **Alt Case 2 (15%):** Animal spirits reignite on misread of RMO as QE; risk assets squeeze higher into year-end, repeat of BTFP rally.
- **Anti-Thesis Trigger:** If both bonds and equities rally together on RMO → market believes in goldilocks liquidity injection
- **Tail Risks:** Government shutdown in January, SCOTUS tariff decision Monday, BOJ hike

5) Hard Data & Verifiable Claims

- **Data:** Fed buying \$40B/month T-bills through April (announced)
- **Data:** Additional ~\$15B/month from MBS runoff reinvestment (pre-existing)
- **Data:** Post-April maintenance buying likely \$10-20B/month
- **Data:** Fed reduced reserves by \$3T during QT
- **Data:** Current RMO adds ~\$100B over 4 months
- **Data:** BTFP grew ~\$120B in 3-4 months during SVB crisis
- **Data:** SVB episode: equities +12-13%, gold +10% in 2 months (then gold retraced)
- **Data:** SPX then: 3,800; now: 6,900. Gold then: 1,800; now: 4,300
- **Data:** Dec-Jan VIX spread: collapsed from 240 to under 140 on Friday
- **Claim:** Yellen Treasury financed at ~50% bills (no source cited but directionally accurate)
- **Claim:** Saylor’s Bitcoin average cost ~73K (market consensus, not verified)

6) BS & Bias Filter

- **Incentives:** Andy runs a paid research service (DSR); has existing positions (70% invested, long gold/foreign stocks/commodities, short bond bias)
- **Blind Spots:** No discussion of earnings or fundamental equity drivers; US-centric
- **Track Record:** Called SVB protect mode correctly; admits to missing recent rally by being underinvested
- **Consensus Check:** Contrarian on RMO interpretation (not QE); consensus on Hasset vs Warsh view (dismisses it as “what everybody says”)
- **Sample Bias:** Heavy rates/plumbing focus; less crypto expertise (defers to Jimmy)

7) PM Bottom Line

Action → Monitor / Hedge

The RMO is a plumbing fix, not a stimulus bazooka—don't chase the "QE is back" narrative. Bond market's rejection and crypto's failure to hold gains are warning signs. Position for volatility: own wings, stay nimble, don't press directional bets into year-end illiquidity.

Key watches: Bitcoin 73K and channel support, ZB 115 level, NASDAQ Thanksgiving gap, Dec VIX expiration Wednesday, SCOTUS tariff decision Monday, BOJ rate decision.